FREE FINANCING GUIDE

CMBS Loan Guide

Why 2025's Record Issuance Set Up a Deep 2026 Bid, What Current Pricing and Leverage Look Like by Property Type, and the Metrics That Drive Approvals

Prepared by K2 Commercial Finance

Investor & Business Loans · k2commercialfinance.com

PAGE 1

Why CMBS Is a Genuine Tool for Stabilized Commercial Real Estate

CMBS loans exist to give stabilized commercial properties access to capital-markets pricing — often the tightest fixed-rate, non-recourse execution available for the right deal. 2026 opened with the market riding a genuinely strong tailwind: 2025 was the best year for CMBS issuance since before the financial crisis.

- **Pricing runs meaningfully tighter than bridge or many bank options.** July 2026 rates run 5.50% to 7.10% across property types on 10-year fixed terms — multifamily and industrial price tightest at 5.50%–6.30%.
- **2025 was a record year for CMBS issuance.** $125.6 billion in CMBS issuance in 2025 — the highest volume since 2007 — signaling deep investor demand for conduit and single-asset paper heading into 2026.
- **Non-recourse execution is standard.** Most CMBS loans close non-recourse with standard "bad boy" carve-outs, a genuine advantage over the personal guarantees typical of bank and bridge financing.
- **Leverage tiers reward stronger property types.** Multifamily can reach 75% LTV, while office and hospitality cap at 65% — proceeds and pricing both track investor appetite for the specific property type.
- **A defined "gold-standard" execution lane exists.** The 60%–65% LTV band is where institutional bond markets deliver the lowest capital costs; loans priced above that level see materially higher spreads.

That said, prepayment is genuinely restrictive by design. Years 1–2 typically carry a hard lockout with no prepayment permitted, and defeasance on a year-5 exit with a 100 basis point rate drop can cost roughly $1.05 million on a representative loan. Loan sizing is also a dual constraint — the maximum is the lower of the DSCR-based test and the LTV-based test, not simply whichever is more generous. With $936 billion in total commercial real estate debt maturing in 2026 and the CRE distress rate running 11.98% as of January 2026, refinancing demand — including CMBS execution — remains genuinely elevated.

PAGE 2

2026 Market Outlook for CMBS Financing

CMBS enters the second half of 2026 with record issuance momentum behind it and pricing that continues to reward stabilized, well-documented assets. The following figures outline where the market stands:

- CMBS loan rates as of July 2026 run 5.50% to 7.10% across property types on 10-year fixed terms: multifamily and industrial price tightest at 5.50%–6.30%, self-storage 5.65%–6.65%, hotel (limited-service) and mobile home park 5.85%–6.85%, retail (grocery-anchored) and mixed-use 5.95%–6.95%, and office (Class A) runs highest at 6.00%–7.10%. Conduit spreads run 175 to 275 basis points over the 10-year Treasury (4.38% as of July 6, 2026), with AAA bond spreads tightening to +78 bps from +95 bps in February.

  Source: PeerSense, CMBS Loan Rates July 2026

- Maximum LTV varies by property type: 75% multifamily, 70% industrial/anchored retail/self-storage, 65% office and hospitality; minimum DSCR runs 1.25x (multifamily/industrial) up to 1.40x (hospitality), with the 60%–65% LTV band widely viewed as the "gold-standard" execution tier for the lowest capital costs.

  Source: PeerSense, CMBS Loans 2026

- 2025 was a record year for CMBS issuance: $125.6 billion, the highest volume since 2007, with roughly 20 to 30 active conduit programs currently originating.

  Source: PeerSense, CMBS Loans 2026 Market Overview

- The broader CRE debt market faces a substantial maturity wall in 2026: $936 billion in total commercial real estate debt is coming due, with the CRE distress rate running 11.98% as of January 2026 — a dynamic keeping refinancing demand, including CMBS execution, elevated.

  Source: PeerSense; CRED iQ, CMBS Conduit Underwriting Trends, February 2026

- Prepayment structure remains restrictive by design: years 1–2 carry a hard lockout with no prepayment permitted, and defeasance on a year-5 exit with a 100 basis point rate drop can cost roughly $1.05 million on a representative loan — loan assumption, where available, typically runs 0.50% to 1.00% of balance plus legal and servicer fees.

  Source: PeerSense, CMBS Loans 2026

Bottom line for 2026: CMBS enters the second half of 2026 offering some of the tightest fixed-rate, non-recourse pricing available in the market — rates as low as 5.50% for the strongest property types, backed by 2025's record $125.6 billion issuance year and deep investor demand. But leverage and DSCR requirements vary meaningfully by property type, prepayment flexibility is genuinely limited by lockout and defeasance mechanics, and the $936 billion 2026 maturity wall means real competition for capital among borrowers refinancing on similar timelines. Sponsors who show up with clean trailing financials and a strong rent roll get the best execution in this record-demand environment.

PAGE 3

Critical Metrics for CMBS Financing

CMBS lenders underwrite to standards built for the capital markets, not just their own balance sheet. The following metrics most often determine whether a request moves forward:

1. **Trailing Operating Performance and Cash Flow Durability**

   Multi-year, not just trailing 12-month, operating history is scrutinized since the loan is headed for securitization.

2. **Rent Roll, Occupancy, and Tenant Quality**

   Current, detailed rent roll with lease and tenant credit information.

3. **Debt Service Coverage Ratio**

   The binding constraint on many deals — often more restrictive than the LTV test.

   1.25x (multifamily/industrial) to 1.40x (hospitality)

4. **Loan-to-Value by Property Type**

   Maximum leverage available, which varies significantly by property type and investor appetite.

   up to 75% (multifamily); 70% (industrial/anchored retail/self-storage); 65% (office/hospitality); 60%–65% is the "gold-standard" tier

5. **Rate and Spread by Property Type**

   Pricing available depends heavily on property type and where it sits relative to Treasury/swap spreads. **5.50%–7.10% (July 2026); conduit spreads 175–275 bps over the 10-year Treasury**

6. **Loan Sizing (Lower of DSCR or LTV Test)**

   Maximum proceeds are the lower of the DSCR-constrained and LTV-constrained calculations, not the more generous of the two. **$5M–$500M+ typical conduit origination window**

7. **Prepayment Structure (Lockout / Defeasance / Yield Maintenance)**

   Early payoff flexibility, which is intentionally limited to protect bondholders.

   years 1–2 hard lockout typical; assumption where available runs 0.50%–1.00% of balance plus fees

These metrics form the practical filter that separates CMBS financing requests that get funded from those that stall in underwriting.

PAGE 4

Practical Framework & Getting It Right the First Time

Pre-Submission Checklist

Before approaching CMBS lenders, confirm:

- [ ] Trailing 12-month (and multi-year) operating statements are organized
- [ ] Current detailed rent roll with tenant and lease information is prepared
- [ ] Property condition and basic environmental information are available
- [ ] Borrower/sponsor experience and financial statements are current
- [ ] Existing debt schedule is prepared (for refinances)
- [ ] Market and comparable information is gathered
- [ ] Entity documents and organizational structure are current
- [ ] A clear picture of cash flow durability is presented

Common Reasons CMBS Financing Requests Underperform or Get Declined

- Trailing cash flow or occupancy falls short of stabilization expectations
- DSCR or LTV requested exceeds what the property type and market support
- Incomplete or inconsistent operating statements and rent roll
- Property or market currently viewed unfavorably by CMBS investors
- Loan size too small to efficiently fit conduit or single-asset execution

Final Perspective

CMBS financing in 2026 remains a genuinely strong option for stabilized commercial real estate — 2025's record $125.6 billion issuance year signals deep investor demand, non-recourse execution and fixed-rate pricing remain standard, and the strongest property types can reach 75% LTV. But because the loan is underwritten for eventual securitization, the deals that close most smoothly are the ones where trailing operating history, the rent roll, and property information are all clean and complete before the application goes in — and where the borrower understands the prepayment structure going in.

High-level knowledge of how these loans work is valuable. Turning that knowledge into a funded transaction still requires the right preparation and the right lending relationships.

Getting it right the first time matters. Weak trailing cash flow, an incomplete rent roll, and a mismatch between the loan size and CMBS execution are among the most common reasons otherwise solid CMBS requests lose time, money, and momentum.

YOUR NEXT STEP

How the K2 Lender-Ready System Helps

If you're serious about securing financing for commercial property, investment property, or your business, you owe it to yourself to use a system that's been developed over 26 years of commercial mortgage brokering.

This is the exact system K2 Commercial Finance has used to help clients secure more than $100 million in financing. It is designed to save you time, energy, and effort — and to put you immediately in front of the lenders most likely to fund your specific deal.

For $49.99, you get six months of full access to the complete K2 Lender-Ready System — including:

- **Preferred Lender Directory** — Curated lenders who have shown appetite for commercial real estate and business loans, matched to your property type and loan program.
- **AI Prep Coach** — Dozens of targeted prompts to help you present your transaction more clearly, position yourself as a stronger borrower, analyze lender offers, and negotiate with confidence.
- **Password-protected Deal Room** — Securely store and share documents in one private workspace.
- **Document Library** — A complete collection of documents, forms, checklists, and templates lenders commonly request.
- **Submission Tracker** — Know exactly where each file stands so nothing falls through the cracks.

Even with solid information, success still depends on approaching the right lenders with a properly prepared package. The K2 Lender-Ready System gives you both.

Learn More About the K2 Lender-Ready System →

Seven-Day Ready or Refund Guarantee

K2 Commercial Finance

Investor & Business Loans · k2commercialfinance.com